

FUTURE Imperfect

The Rs 7,000-crore virus unleashed by Raju has affected the credibility of the sector, sending IT companies and employees scrambling for cover

| By Nivedita Mukherjee |

You couldn't ask for a more emphatic symptom of nervousness. On January 13, the management of Infosys Technologies revealed to its directors and shareholders details of all its bank deposits. That Infosys, long considered the epitome of ethical entrepreneurship and corporate governance, was forced to open its bank details for shareholders is a sign of the times. For all its programming proficiency, the software sector was clearly not ready for this scam. In short, it was not programmed for it.

The Rs 7,000-crore Satyam virus authored by B. Ramalinga Raju has affected the credibility of the sector, sending IT czars on the defensive and into the strategy room. Indeed, it is not just the software sector but India Inc that has been put on the defensive. After all every sentry who was to have whistled was caught silent. Within the company, the internal auditors, the external auditors, the independent directors, audit committee and the board were all caught napping. On the outside, the regulators who have been happy to "write a rule for every violation" are clueless as to which end of the scam they should begin their probe with. Clearly, the algorithm of credibility and trust will have to be rewritten.

An almost bankrupt company, ban on future contracts by the World Bank, and possibilities of a legal case in the US—it is a triple whammy for Satyam and the IT sector, cruising along, so far, on a \$50-billion revenue highway. The situation suddenly appears out of control, with a taint that cannot be altered and the burden of losses that cannot be shifted. Som Mittal, president, Nasscom, the apex body of IT firms, calls it an isolated incident. "But we are shocked by its nature and magnitude in an industry that generally represents the highest levels of corporate governance and transparency in the country," said Mittal.

Sure, the Government has now stepped into damage control mode; a new board with credibility is in place—Deepak Parekh, chairman, Housing Development Finance Corporation Ltd, Kiran Karnik former president of NASSCOM and C.K. Achuthan, former member of the Securities and



ACHUTHAN (LEFT), PAREKH (CENTRE) AND KARNIK HAVE TO RESTORE THE COMPANY'S CREDIBILITY AND CUSTOMER CONFIDENCE

Exchange Board of India, making a comprehensive team of experts from banking, IT and law backgrounds. While the board's first priority, as set by Minister for Corporate Affairs Prem Chand Gupta, would be to restore the company's credibility, customer confidence and employee morale, it is also expected to safeguard the interest of investors and other stakeholders. In fact, the new board has already received applications for the top positions with former Wipro CEO Vivek Paul favourably tipped for the CEO's post.

Also doing the rounds is a buzz about a financial bailout for Satyam after the newly appointed board's letter to the Ministry of Finance raised concerns about the liquidity crunch in the troubled company. With working capital issues requiring immediate attention, the package for Satyam is expected to be in the range of Rs 2,000 crore. However, there is yet no official word on the need for a bailout.

In short, all the right feelers of the Government's commitment to protect investor interest have been sent out to the global community to prevent any more panic reactions. Institutional investors Aberdeen International, Fidelity, Morgan Stanley and Swiss Finance sold Satyam shares worth over Rs 300 crore soon after the shocking disclosures. What is worse is that investors have been threatening to exit other